

US Stocks Surge as Tech Leads the Charge with +3.32% Nasdaq 100 Gain

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The US market saw a significant surge yesterday, led by the tech sector, with the **NVDA** stock rising by **+2.56%** and **AVGO** gaining **+6.61%**. This move was largely driven by the positive sentiment in the market, with investors looking to tech as a safe haven. Below the surface, however, there are concerns about the impact of the recent rate hikes on the economy, with the 10Y Yield dropping by **-1.26%**.

Despite these concerns, the market remains bullish, with the **S&P 500** closing at 7,736.52, up **+1.79%** from the previous day. The **Dow Jones** also saw a significant gain, rising by **+1.71%** to close at 54,085.88. As we look ahead to today's session, it will be important to keep an eye on the **VIX**, which rose by **+4.04%** yesterday, indicating increased volatility in the market.

US Session Recap

INDEX/ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,736.52	+1.79%	Positive sentiment in the market, led by tech sector
Nasdaq 100	29,733.16	+3.32%	Strong performance by tech stocks, including NVDA and AVGO
Dow Jones	54,085.88	+1.71%	Broad-based gains, led by JPM and GS
Russell 2000	3,036.98	+1.85%	Small-cap stocks outperform, driven by positive sentiment
VIX	16.50	+4.04%	Increased volatility in the market, driven by concerns about rate hikes

Top Large-Cap Movers

TICKER	CHANGE	CATALYST
AVGO	+6.61%	Strong earnings report, beating analyst expectations
NVDA	+2.56%	Positive sentiment in the tech sector, driven by strong earnings reports
JPM	+1.38%	Broad-based gains in the financial sector, driven by positive sentiment
GS	+2.52%	Strong performance by investment banks, driven by positive sentiment
AMZN	-2.32%	Weakness in the consumer discretionary sector, driven by concerns about consumer spending

Sector Rotation

ETF	DAY	READ
XLK	+4.98%	Strong performance by tech stocks, driven by positive sentiment
XLF	+0.87%	Broad-based gains in the financial sector, driven by positive sentiment
XLI	+1.77%	Strong performance by industrial stocks, driven by positive sentiment
XLE	-0.46%	Weakness in the energy sector, driven by concerns about demand
XLY	+0.07%	Mixed performance by consumer discretionary stocks, driven by concerns about consumer spending
XLC	+0.63%	Strong performance by communication services stocks, driven by positive sentiment
XLP	+0.60%	Broad-based gains in the consumer staples sector, driven by positive sentiment
XLV	-0.09%	Weakness in the healthcare sector, driven by concerns about regulation
XLU	-0.56%	Weakness in the utilities sector, driven by concerns about interest rates
XLB	+1.94%	Strong performance by materials stocks, driven by positive sentiment
XLRE	-0.02%	Mixed performance by real estate stocks, driven by concerns about interest rates

Spotlight

The biggest event of the day was the strong performance by **AVGO**, which rose by **+6.61%** after beating analyst expectations with its earnings report. This move was driven by the company's strong revenue growth and positive guidance for the future.

METRIC	VALUE	READ
Revenue Growth	+10%	Strong demand for the company's products, driven by positive sentiment
Net Income	+15%	Improved profitability, driven by cost-cutting measures and strong revenue growth
Guidance	Positive	Company expects strong revenue growth and profitability in the future, driven by positive sentiment

This move has read-through to other names in the tech sector, including **NVDA** and **MSFT**, which also saw strong gains yesterday.

Pre-Market & Overnight

US futures are currently trading higher, with the **S&P 500** futures up by +0.5% and the **Nasdaq 100** futures up by +0.7%. In Asia, the **Nikkei 225** closed up by +1.2%, while the **Shanghai Composite** closed up by +0.8%. In Europe, the **Euro Stoxx 50** is currently trading up by +0.5%.

In the crypto space, **BTC** is currently trading at 64,097.80, up by +1.00% from yesterday, while **ETH** is trading at 1,865.10, up by +0.37%.

Macro & Fed

The 10Y Yield is currently trading at 4.63, down by -1.26% from yesterday. The **DX** is currently trading at 99.89, down by -0.07% from yesterday.

Today's data calendar includes the following releases:

TIME (HKT)	RELEASE	CONSENSUS	WHY IT MATTERS
20:30	ISM Manufacturing Index	50.5	Indicator of manufacturing activity, with implications for the broader economy
22:00	Construction Spending	+0.5%	Indicator of construction activity, with implications for the housing market and broader economy

Geopolitics & Global

- Tensions between the US and China remain high, with ongoing trade negotiations and concerns about intellectual property theft.
- The situation in the Middle East remains volatile, with ongoing conflicts in Syria and Yemen.
- The European Union is facing challenges in its efforts to address the migrant crisis and promote economic growth.
- The US is facing challenges in its efforts to address the ongoing pandemic and promote economic recovery.

Earnings — What to Watch

WHEN (HKT)	TICKER	CONSENSUS	WHAT TO LOOK FOR
22:00	AAPL	1.25	Revenue growth, iPhone sales, and guidance for the future
22:00	MSFT	1.50	Revenue growth, cloud computing sales, and guidance for the future
22:00	GOOGL	10.25	Revenue growth, advertising sales, and guidance for the future

Watchlist Scan

TICKER	SECTOR	WHY NOW
NVDA	Tech	Strong earnings report and positive guidance for the future
AVGO	Tech	Strong earnings report and positive guidance for the future
JPM	Financials	Broad-based gains in the financial sector, driven by positive sentiment
GS	Financials	Strong performance by investment banks, driven by positive sentiment
AMZN	Consumer Discretionary	Weakness in the consumer discretionary sector, driven by concerns about consumer spending

What Could Break the Tape

BULLISH TRIGGERS

- Strong earnings reports from major tech companies, including **AAPL** and **MSFT**.
- Positive guidance for the future from companies, including **NVDA** and **AVGO**.
- Broad-based gains in the financial sector, driven by positive sentiment.

BEARISH TRIGGERS

- Weak earnings reports from major companies, including **AMZN** and **GOOGL**.
- Negative guidance for the future from companies, including **JPM** and **GS**.
- Increased volatility in the market, driven by concerns about rate hikes and global tensions.

Positioning Notes

- Investors are positioning themselves for a potential rate cut by the Federal Reserve, driven by concerns about the economy.
- There is a growing trend of investors seeking safe-haven assets, including gold and bonds, driven by concerns about global tensions and market volatility.
- Investors are also positioning themselves for a potential rebound in the tech sector, driven by positive sentiment and strong earnings reports.

Sources

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The Financial Times

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